

US MARKET INTELLIGENCE | MORNING BRIEFING



APRIL 24, 2026

IDEAS & INSIGHTS – IN BRIEF

- **NEW OIL FLASH NOTE** – New notes from **Natasha Kaneva** on current supply loss the market impacts: *“In a major disruption, the balancing sequence typically runs as follows: spare capacity is activated first; inventories are drawn next; then emergency releases and refinery run cuts follow; and, finally, higher prices force demand lower. The closure of the Strait of Hormuz should be a clear example of this dynamic. Yet, something is off.”*
- **US MARKET INTEL VIEW** – We are **Tactically Bullish** with an updated **Monetization Menu**.

JPM MARKET INTEL MORNING UPDATES

- **SPX -0.0%, NDX +0.7%, RTY -0.2%**. WTI +188bps at \$97.65, NatGas -195bps to \$2.56, UK NatGas +158bps to £1.1264, Gold -28bps to \$4,681, Silver -105bps to \$74.64, 10Y @ 4.333%, and VIX @ 19.31.
- **US:** Futs are flat with NDX outperforming. Pre-market, Mag 7 are mixed with MSFT (+0.7%) and TSLA (+0.6%) leading. INTC added +29% amid surprises in both earnings and sales across all major businesses. Bond yields are high, but by less than 1bp. WTI added \$1.7 and is now at \$97.6 this morning; metals are mostly lower; ags are higher. Overnight, macro headlines were largely muted on Iran; the situation remains uncertain.
- **EU/UK:** Major markets are lower; Spain and France are lagging. Thematically, EU Defence, Luxury and Ceasefire are among the worst performing baskets. UKX -0.7%, SX5E -0.6%, SXXP -0.8%, DAX -0.5%. CSI -0.4%, HSI +0.2%, NKY +1.0%, ASX -0.1%, KOSPI -0.0%.

CATALYSTS TODAY (WEEK AHEAD)

- **US MACRO DATA:** U. of Mich. Sentiment/Expectations (revision) at 10am ET. Kansas City Fed Services Activity at 11am ET.
- **US EARNINGS:** CHTR, DAR, FISV, FIX, **GILD**, HAS, **HCA**, NSC, **PG**, **SCCO**, SLBs

- **GLOBAL MACRO DATA:** (Japan) Nationwide Dept Sales at 1:30am ET. **(UK) Retail Sales at 2am ET.** (France) Consumer Confidence at 2:45am ET. (Germany) IFO Business Climate at 4am ET. (Canada) Retail Sales at 8:30am ET.

JPM MARKET INTEL EQUITY & MACRO NARRATIVE

Oil went up from \$83 (as of last Friday's close) to \$97 (as of this morning) this week, heightening the re-escalation in Iran headlines as the negotiation fell into a stalled process, with rising uncertainties on the closure of the Strait of Hormuz and risks on further escalation into kinetic conflicts. While Iran development was not supportive, equity investors are now reacting less on media signals but focusing more on decisive announcements or actions taken. Moreover, with equities now reversing most of their losses during the Iran-conflict, short covering and conflict-related baskets (e.g., airlines) have now lost their upside momentum. Instead, fundamentals and earnings became the bigger drivers this week with Semis outperforming again. All eyes on Mag 7 earnings and global central bank decisions next week.

NEW OIL FLASH NOTE: SIMPLE MATH – Natasha Kaneva's full note is [here](#)

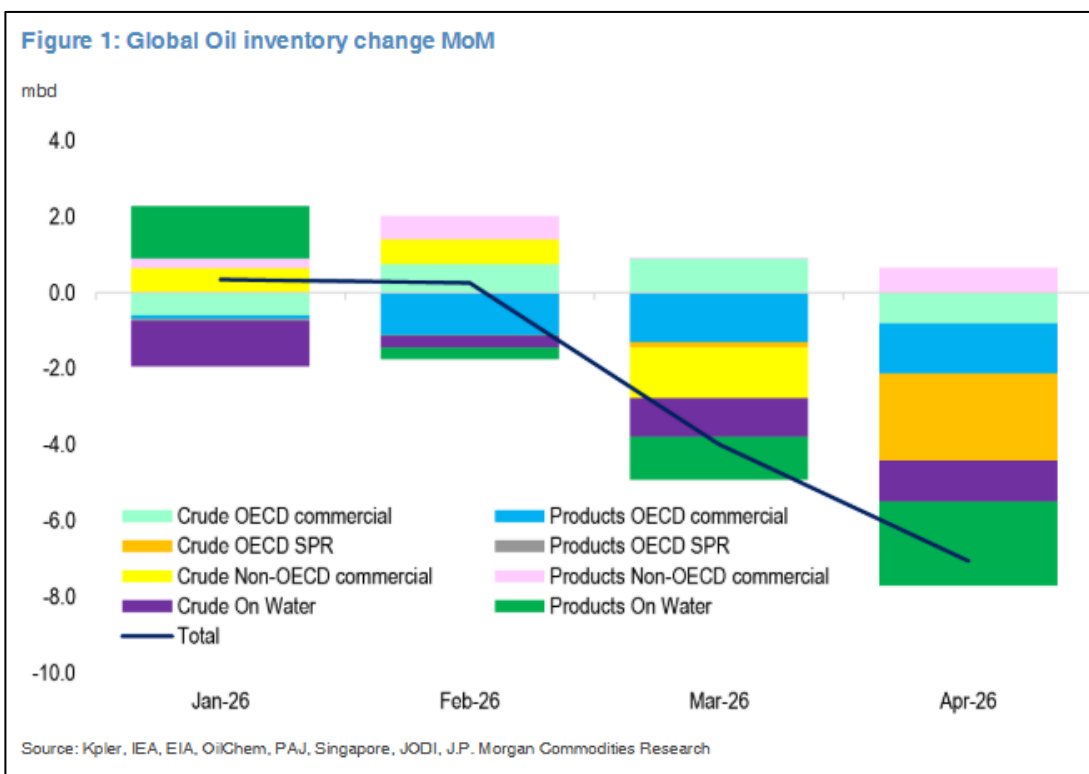
- In practical terms, commodity markets are always forced into equilibrium: the market must clear. For physical commodities, the daily accounting is straightforward: supply + inventory withdrawals = consumption + inventory builds. If production falls short of desired demand, the gap can't persist. The system adjusts first through spare production capacity, then through inventory draws. As inventories tighten, prices rise to ration consumption. In accounting terms, flows must match almost in real time. In economic terms, however, prices can be far from equilibrium as they move sharply to whatever level is needed to restore balance.
- Oil is the clearest example because short-run demand is relatively inelastic: transportation still needs gasoline and diesel, airlines still need jet fuel, and petrochemical plants still need feedstock. As a result, even a modest supply loss can produce outsized price moves as the market rations scarce barrels. In a major disruption, the balancing sequence typically runs as follows: spare capacity is activated first; inventories are drawn next; then emergency releases and refinery run cuts follow; and, finally, higher prices force demand lower.
- The closure of the Strait of Hormuz should be a clear example of this dynamic. Yet, something is off. Here is the math.
- The disruption to global supply totaled 9.1 mbd in March and widened to 13.7 mbd in April. Yet the first balancing lever—spare capacity—failed to engage. Nearly all of the world's spare capacity is concentrated in Saudi Arabia and the UAE, and it was effectively cut off from global oil markets, stripping the industry of its traditional shock absorber. In the US—the world's marginal supplier—even

a sharp price increase cannot translate into immediate shale growth at this scale. Meaningful supply response typically takes three to six months to materialize, with only 0.3-0.7 mbd likely over that window. Larger gains of up to 1 mbd tend to emerge only over six to 12 months. Russia has some spare capacity, but it is limited to roughly 300 kbd. Even with that cushion, supply growth remains challenging amid ongoing attacks on energy infrastructure, including ports and pipelines, with Russian supply down 350 kbd in recent weeks.

- With spare capacity constrained, the second lever—inventories—was activated almost immediately. We estimate that observable commercial and strategic inventories drew by 4.0 mbd in March and an extraordinary 7.1 mbd in April (Figure 1). We do not have full visibility into all inventories—particularly product stocks—so it is entirely possible that actual draws are materially larger than what is currently visible in reported data.
- Demand buckled as well. Observed global oil demand fell by an average of 2.8 mbd in March and is tracking a larger 4.3 mbd decline so far in April (Figures 2 and 3). To put this in perspective, demand erosion at the peak of the Global Financial Crisis in January 2009 was on the scale of 2.5 mbd as recession and weaker industrial activity weighed on consumption. What is striking is that these losses have occurred at prices that do not appear extreme by historical standards. Realized futures Brent prices averaged just under \$100/bb in both March and so far in April, while dated crude oil averaged \$107 in March and \$123 in April to date. Granted, product prices have almost doubled from prewar levels. Even so, prices do not seem high enough on their own to explain a drop in demand of this magnitude, or one that has unfolded this quickly. This suggests that much of the decline is not traditional, price-driven “demand destruction” but rather forced demand loss caused by missing supply. Put differently, physical shortages are constraining actual consumption, so what appears to be demand destruction is a supply loss showing up on the demand side of the ledger.
- This distinction matters because it changes how we interpret the rebalancing now underway. So far, most of the adjustment appears to have come through demand losses concentrated in the Middle East and frontier economies across Asia. Middle East remains at the epicenter of the shock as war-related disruptions are curbing consumption. Asia is next, reflecting its structural dependence on Gulf supply for both crude and refined products, particularly for petchem feedstocks. Africa has also been hit: many countries rely heavily on Gulf middle distillates, carry low inventories, and have limited fiscal capacity to absorb higher costs. As cargoes are diverted to higher-bidding Asian markets, some buyers are simply priced out. Together, these regions account for 87% of the total 4.3 mbd demand hit in April.
- The issue is arithmetic. If roughly 14 mbd of supply has been removed, and even assuming an aggressive 8 mbd contribution from inventory draws, the market would still need to clear an additional

2 mbd through lower demand or through even larger inventory draws (Figure 4). This is too large to be absorbed by emerging markets alone. In practical terms, Europe and the US would also need to participate. For that to happen, prices would likely need to rise further. Europe has already begun tightening, with disruptions further reducing distillate availability into an already-constrained diesel and jet fuel market. The Americas are relatively more insulated in the near term thanks to greater domestic supply flexibility and inventory buffers. Even so, higher pump prices are starting to curb discretionary driving in the US, while rising airfares are beginning to soften jet demand.

- By product, the pullback is emerging first in price-sensitive sectors with thinner margins, most notably aviation and petrochemicals, with petrochemical feedstocks bearing the brunt of the adjustment. Shortages of LPG, ethane, and naphtha from the Gulf have forced PDH units and steam crackers across Asia to slash operating rates or shut down altogether. LPG is also a key cooking fuel in India, and the latest official data show that March LPG consumption fell 13% YoY. In our estimates, this feedstock-driven weakness accounts for about 55% of the total 4.3 mbd demand loss in April. Jet fuel accounts for 11% of the total demand loss, largely reflecting grounded flights in the Middle East. Looking ahead to May, we expect jet demand to weaken further as airlines across Asia and Europe scale back activity. Gasoline prices have risen far less than distillates so far, reflecting limited reliance on Gulf supply. That insulation is likely to fade, however, as refinery constraints tighten broader product balances, especially as seasonal demand strengthens into the US summer driving season.



US MKT INTEL VIEWS – We published below in the April 20th Morning Briefing

We are **Tactically Bullish**. We published below in the April 13 Morning Briefing: The major driver of the view are steps to normalize the SoH supply chain crunch. Combine that with (i) a macro picture that remains resilient based on the strength of household and corporate balance sheets with potential tailwinds from OBBBA and labor productivity; (ii) a strong earnings outlook; and, (iii) a tariff regime that continues to see net effective tariffs trending lower. In terms of how the rally progresses, we think markets will begin with an ‘Everything Rally’ similar to that seen on Mar 31 or Apr 8, with investors chasing sectors / sub-sectors hit the most. Look for a return to all-time highs across the major indices. After that, we think a return to fundamentals is warranted; if so, the next stage of the rally depends on Mag7 / MegaCap Tech retaking leadership as the AI theme has remained durable throughout the Middle East Conflict.

- **The key** risk to this bullish view is that the ceasefire framework breaks down and negotiations fail, triggering a rapid re-escalation in the region. In that scenario, markets will likely focus on the arrival of an additional U.S. aircraft carrier strike group by Tuesday as an escalation signal. Should this scenario unfold, we would expect oil to make new highs and equities to make new lows, with outsized moves given the setup: the energy/supply-chain shock has increasingly exhausted available buffers, pushing the world from rationing toward the risk of an outright supply shortfall.
- **MONETIZATION MENU** (same as Apr 13) – We continue to follow the previous Menu from Apr 8 and would like to add the following color: client conversations reveal an agreement with buying things that maintain significant upside to previous ATHs / YTD highs such as Airlines, Consumer Discretionary, Gold and Silver Miners, and Homebuilders. Regarding Tech, many think that Mag7 have gotten too cheap, but the risk is the hit to FCF, though buybacks do not appear to be compromised. We are bullish on Mag7. If we see a shift lower in bond yields, this opens the door to higher beta plays.
- **OLD MONETIZATION MENU** (Apr 8) – Look for bond yields to decline, oil / energy prices to see a significant decline, USD to sell off, credit spreads to tighten, and Equities to rally.
 - In Equities, we think RTY leads followed by NDX and then SPX. In terms of sectors / styles / factors start with Tech and Cyclical. Mag 7 and Semis seemed poised to explode higher. Within Cyclical, Consumer plays represent the best near-term upside, specifically discretionary plays like homebuilders and retailers. Financials are a segment that could see a Trump deal / pivot ignite a multi-week rally given what would be an improving macro background, expected strong earnings, a bull steepening yield curve, and light positioning. Precious metals would likely see a strong rebound as USD depreciates given the pullback / correct the metals have experienced; miners more generally may see a bid from the recent changes to the metals tariffs.

- On the short side, Energy Equities are likely to experience a significant decline. We like Equities over Credit.
- From a country perspective, this will be an 'Everything Rally' but look for APAC to lead followed by Latam, the EU, and then the US; EM over DM. Though, we suspect this trend dissipates as we move through earnings season and as we normalize SoH throughput to show the US is hurt relatively less than other countries and maintains a materially stronger outlook.

NEWS LINKS

- Stocks Decline as Iran Jitters Spur Rally in Oil ([BBG](#))
- Trump's Promise of Lower Oil Prices Clashes With Industry Fears ([BBG](#))
- Meta, Microsoft Look to Trim Workforces Amid Heavy AI Spending ([BBG](#))
- US Data Restrictions in Iran Disrupt Satellite Imagery Industry ([BBG](#))
- Meta will cut 10% of workforce as company pushes deeper into AI ([CNBC](#))
- Brent oil tops \$104 per barrel on unconfirmed report Iran's top negotiator resigned ([CNBC](#))
- Software stocks plunge on ServiceNow, IBM results as AI fears escalate ([CNBC](#))
- Oil rises on concern over escalating Middle East tensions ([RTRS](#))
- No US-Iran peace talks in sight, but Islamabad maintains security lockdown ([RTRS](#))
- Italy set to become euro zone's most indebted country, replacing Greece ([RTRS](#))
- An Iranian Ship Tried to Slip Past the Blockade. A U.S. Destroyer Chased It Down. ([WSJ](#))
- Trump Says Israel, Lebanon Cease-Fire Is Extended ([WSJ](#))
- Nike to Cut 1,400 Workers in Latest Round of Layoffs ([WSJ](#))
- Japan's Central Bank Confronts Two-Way Risk Fueled by War in Middle East ([WSJ](#))

WEEKLY ECONOMIC DATA / EARNINGS

US CALENDAR

ECONOMICS

- **APR 20** – N/A
- **APR 21** – ADP Weekly Employment Change at 8.15am ET. Philly Fed Non-Mfg Activity and **Retail Sales at 8.30am ET**. Business Inventories and Pending Home Sales at 10am ET.
- **APR 22** – Mortgage Applications at 7am ET. The US-Iran two-week ceasefire deal is set to expire.
- **APR 23** – Chicago Fed Nat Activity Index and Initial/Continuing Jobless Claims at 8.30am ET. **PMI-Mfg, PMI-Srvcs and Composite PMI at 9.45am ET**. Kansas City Fed Mfg Activity at 11am ET.

- **APR 24** – U. of Mich. Sentiment/Expectations (revision) at 10am ET. Kansas City Fed Services Activity at 11am ET.

EARNINGS

- **APR 20** – AGNC, ALK, CLF
- **APR 21** – BBNX, **COF**, DHI, **DHR**, EFX, EQT, **GE**, GPC, HAL, **IBKR**, **ISRG**, MMM, MSCI, NOC, **RTX**, SYF, TSCO, UAL, **UNH**
- **APR 22** – **BA**, BSX, CACI, CCI, CHDN, **CME**, CSX, ELV, **GEV**, **IBM**, KMI, KNX, LBRT, **LRCX**, LUV, LVS, MAS, MCO, MEDP, MOH, NOW, OTIS, **PM**, RJF, ROL, **T**, **TSLA**, **TXN**, URI, **VRT**, WAB, WEX
- **APR 23** – AAL, AMP, **AXP**, BKR, **BX**, CBRE, **CMCSA**, DLR, DOW, EW, FCX, HBAN, **HON**, **INTC**, IRDM, KDP, **LMT**, NDAQ, **NEE**, **NEM**, PCG, PHM, POOL, PTEN, REXR, ROP, SF, SSNC, **TMO**, **UNP**, VKTX, VRSN, WHR, WST
- **APR 24** – CHTR, DAR, FISV, FIX, **GILD**, HAS, **HCA**, NSC, **PG**, **SCCO**, SLB

GLOBAL CALENDAR

- **APR 19 [SUNDAY]** – (UK) Rightmove House Prices at 7:01pm ET.
- **APR 20** – (Japan) Tertiary Industry Index at 12:30am ET. (Germany) PPI at 2am ET. (Canada) CPI at 8:30am ET.
- **APR 21** – **(UK) Average Weekly Earnings, ILO Unemployment Rate at 2am ET.** (Germany) ZEW Survey Expectations at 5am ET. **(Eurozone) ZEW Survey Expectations at 5am ET.** (Japan) Trade Balance and Exports at 7:50pm ET.
- **APR 22** – **(UK) CPI/PPI at 2am ET.** (Eurozone) Consumer Confidence at 10am ET. (Japan) PMIs at 8:30pm ET.
- **APR 23** – (UK) Public Finances (PSNCR) at 2am ET. (France) Manufacturing Confidence at 2:45am ET. **(Eurozone) PMIs at 4am ET. (UK) PMIs at 4:30am ET.** (UK) GfK Consumer Confidence at 7:01pm ET. **(Japan) CPI at 7:30pm ET. (Japan) PPI Services at 7:50pm ET.** (Japan) Leading Index CI (revision) at 7:50pm ET.
- **APR 24** – (Japan) Nationwide Dept Sales at 1:30am ET. **(UK) Retail Sales at 2am ET.** (France) Consumer Confidence at 2:45am ET. (Germany) IFO Business Climate at 4am ET. (Canada) Retail Sales at 8:30am ET.

NEAR TERM CATALYSTS – CPI (May 12, Jun 10), ISM-Mfg (May 1, Jun 1), ISM-Srvcs (May 5, Jun 3), PMI-Mfg and PMI-Srvcs (Apr 23, May 21, Jun 23), NFP (May 8, Jun 5, Jul 2), PCE (Apr 30, May 28), Retail Sales (Apr 21, May 14, Jun 17). **FED DATES**: Apr 29, Jun 17

POLITICAL CATALYSTS

- **APR 22** – The US-Iran two-week ceasefire deal is set to expire
- **MAY 14-15** – Trump-Xi Summit in China ([BBG](#))
- **MAY 18-19** – G7 Finance Minister and Central Bankers Meeting in Paris
- **JULY 1** – Mandatory Joint Review of USMCA.
- **2H 2026** – Xi's potential visit to the US ([POLITICO](#); Oct 30, 2025).
- **OCT 4** – Brazil General Election.
- **NOV 1** – Expiration of the one-year trade truce agreement between Trump and Xi.
- **NOV 3** – US Mid-term Election.
- **DEC 15-16** – G20 Summit in Miami ([here](#))

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